ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - INDEX FUTURES - INDEX TRADE SETUPS

INTRODUCTION AND DISCLAIMER

TIMESTAMP: 00:00:01

ICT Monthly Mentorship

Forex Risk Disclosure:

The National Futures Association (NFA) and CFTC (Commodity Futures Trading Commission), the regulatory agencies for the forex and futures market in the United States, require that customers be informed about potential risks in the forex market. If you don't understand any of the information provided on this page, please contact us or seek advice from an independent financial advisor.

Risk Associated with Forex Trading Off-exchange foreign currency trading on margin carries a high level of risk and may not be suitable for all investors. The high degree of leverage can work against you as well as for you. Before deciding to invest in foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite.

The possibility exists that you could sustain a loss of some or all of your initial investment and, therefore, you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with off-exchange foreign currency trading and seek advice from an independent financial advisor if you have any doubts.

TheInnerCircleTrader.com Market Opinions:

Any opinions, news, research, analyses, prices, or other information contained on this website is provided as general market commentary, and does not constitute investment advice. http://www.TheInnerCircleTrader.com, Michael J. Huddleston, aka "ICT" and or The Inner Circle Trader will not accept liability for any loss or damage, including without limitation to, any loss of profit, which may arise directly or indirectly from use of or reliance on such information.

Accuracy of Information The content on this website is subject to change at any time without notice, and is provided for the sole purpose of assisting traders to make independent investment decisions. http://www.TheInnerCircleTrader.com has taken reasonable measures to ensure the accuracy of the information on the website, however, does not guarantee its accuracy, and will not accept liability for any loss or damage which may arise directly or indirectly from the content or your inability to access the website, for any delay in or failure of the transmission or the receipt of any instruction or notifications sent through this website.

Government Required Risk Disclaimer and Disclosure Statement:

CFTC RULE 4.41 : HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING. ALSO, SINCE THE TRADES HAVE NOT BEEN EXECUTED, THE RESULTS MAY HAVE UNDER-OR-OVER COMPENSATED FOR THE IMPACT, IF ANY, OF CERTAIN MARKET FACTORS, SUCH AS LACK OF LIQUIDITY. SIMULATED TRADING PROGRAMS IN GENERAL ARE ALSO SUBJECT TO THE FACT THAT THEY ARE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFIT OR LOSSES SIMILAR TO THOSE SHOWN.

Trading performance displayed herein is hypothetical. Hypothetical performance results have many inherent limitations, some of which are described below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and the actual results subsequently achieved by any particular trading program. One of the limitations of hypothetical performance trading results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk, and no hypothetical trading record can completely account for the impact of financial risk in actual trading. For example, the ability to withstand losses or to adhere to a particular trading program in spite of trading losses are material points which can also adversely affect actual trading results. There are numerous other factors related to the markets in general or to the implementation of any specific trading program which cannot be fully accounted for in the preparation of hypothetical performance results and all of which can adversely affect actual trading results.

U.S. Government Required Disclaimer - Commodity Futures Trading Commission Futures and Options trading has large potential rewards, but also large potential risk. You must be aware of the risks and be willing to accept them in order to invest in the futures and options markets. Don't trade with money you can't afford to lose. This is neither a solicitation nor an offer to Buy/Sell futures or options. No representation is being made that any account will or is likely to achieve profits or losses similar to those discussed on this web site. The past performance of any trading system or methodology is not necessarily indicative of future results. Trade at your own risk. The information provided here is of the nature of a general comment only and neither purports nor intends to be, specific trading advice. It has been prepared without regard to any particular person's investment objectives, financial situation and particular needs. Information should not be considered as an offer or enticement to buy, sell or trade.

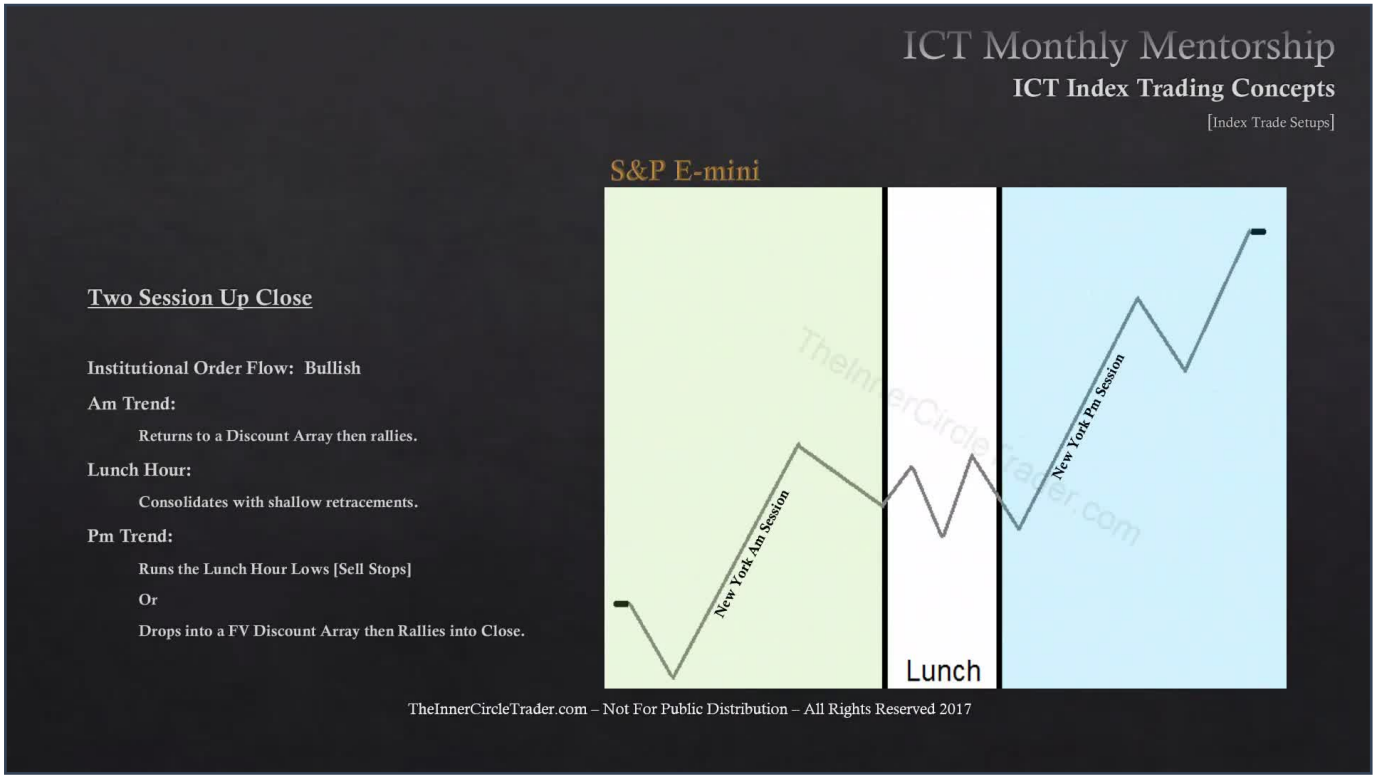
You should seek appropriate advice from your broker, or licensed investment advisor, before taking any action. Past performance does not guarantee future results. Simulated performance results contain inherent limitations. Unlike actual performance records the results may under or over compensate for such factors such as lack of liquidity. No representation is being made that any account will or is likely to achieve profits or losses to those shown. The risk of loss in trading can be substantial. You should therefore carefully consider whether such trading is suitable for you in light of your financial condition.

If you purchase or sell Equities, Futures, Currencies or Options you may sustain a total loss of the initial margin funds and any additional funds that you deposit with your broker to establish or maintain your position. If the market moves against your position, you may be called upon by your broker to deposit a substantial amount of additional margin funds, on short notice in order to maintain your position. If you do not provide the required funds within the prescribed time, your position may be liquidated at a loss, and you may be liable for any resulting deficit in your account.

Under certain market conditions, you may find it difficult or impossible to liquidate a position. This can occur, for example, when the market makes a "limit move." The placement of contingent orders by you, such as a "stop-loss" or "stop-limit" order, will not necessarily limit your losses to the intended amounts, since market conditions may make it impossible to execute such orders. By viewing any http://www.TheInnerCircleTrader.com text, audio, visual commentary, video or presentation, you acknowledge and accept that all trading decisions are your own sole responsibility, and the author, Michael J. Huddleston and anybody associated with http://www.TheInnerCircleTrader.com cannot be held responsible for any losses that are incurred as a result.

Welcome to the final discussion for June 2017 content regarding Commodities and Futures. A reminder to review the disclaimer: I am not a licensed commodity trade advisor. Everything discussed should be viewed as paper trade only.

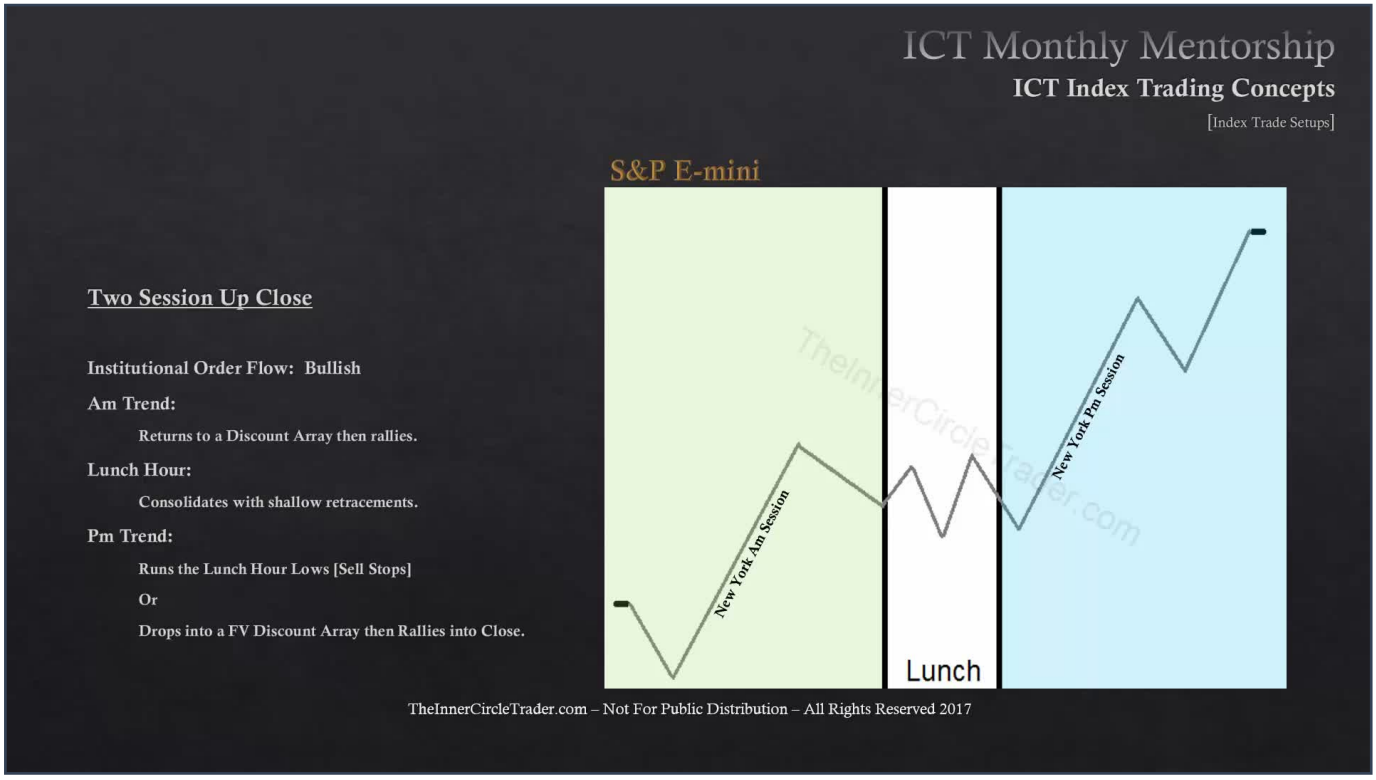
This is the ICT Mentorship, June 2017, ICT Index Trading Concepts, Lesson Five: Index Trade Setups.



Building on Lesson Four's range projections and objectives, we will amplify these for index trade setups. The approach is simplistic, which is exactly what you should be looking for in setups. Over-complicating leads to a million questions and prevents understanding.

TWO SESSION UP CLOSE - AM TREND TO DISCOUNT ARRAY

TIMESTAMP: 00:01:04



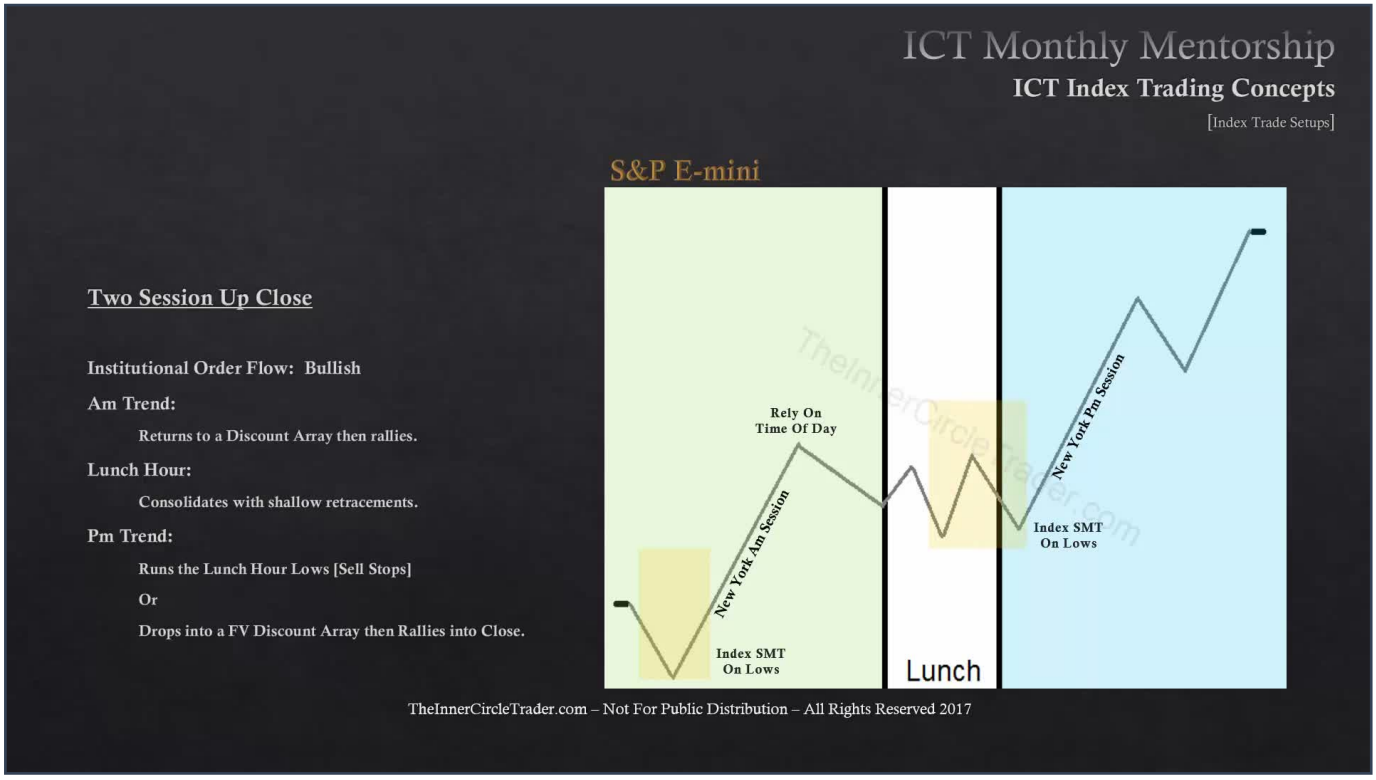
The first setup is the 'Two Session Up Close'. When looking for the AM Trend to return down to a discount array, we are actually looking for:

- An Index SMT Divergence on the lows.

- Comparing the lows from the London session into the 9:30 AM New York equities open.

- The AM session is usually going to reach an expansion move, which can be a higher timeframe PDA, but generally, you want to be holding out for time of day, 10:30 to 11:00 AM, typically understood in Forex as the London close.

- We want to be holding on to it with the idea that it's going to expand going into the lunch hour.



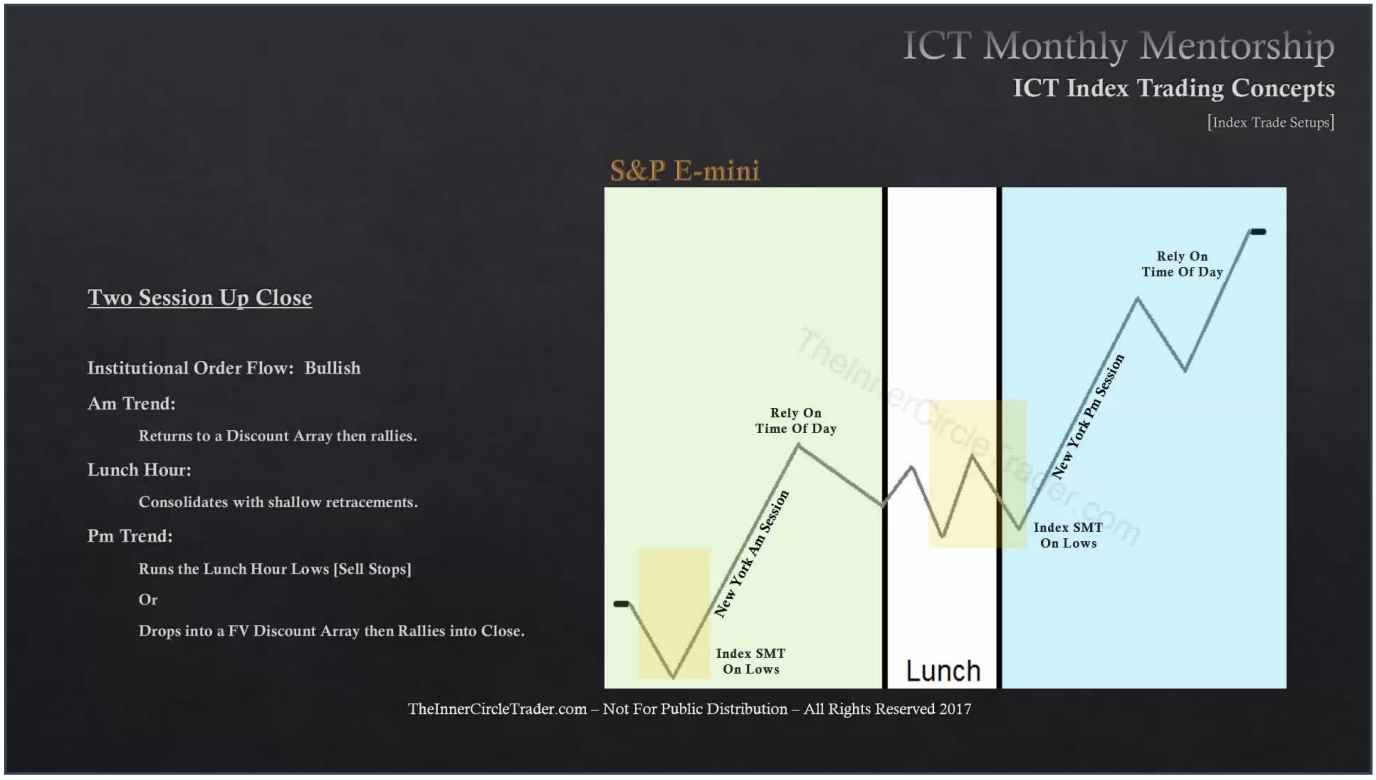
When we get into the lunch hour, it can go into consolidation. Again, we can be looking for:

- A retracement back down below the lows formed in lunch.

- Or returning back to a fair value Gap or bullish order block seen inside of the lunch hour.

- At the lows that form in the lunch hour, and the low that forms immediately after 1:00 PM New York time, those lows are going to be compared against the two other averages (Dow and NASDAQ when looking at the S&P) for Index SMT Divergence at these specific price points. There's no ambiguity here; it's highly specific.

- We're going to be looking for the indices to diverge. One of them, not necessarily the E-mini S&P, if the NASDAQ fails to go lower, that in itself supports the idea that the S&P should rally and go higher.



As we go into the later portions of the day, going into the close, we're going to be relying on time of day, just as we did with the AM session. When I say relying on time of day, we have to do what we can to hold for time.

- Remember, the day is going to expand as we get closer to the closing price or closing hour.

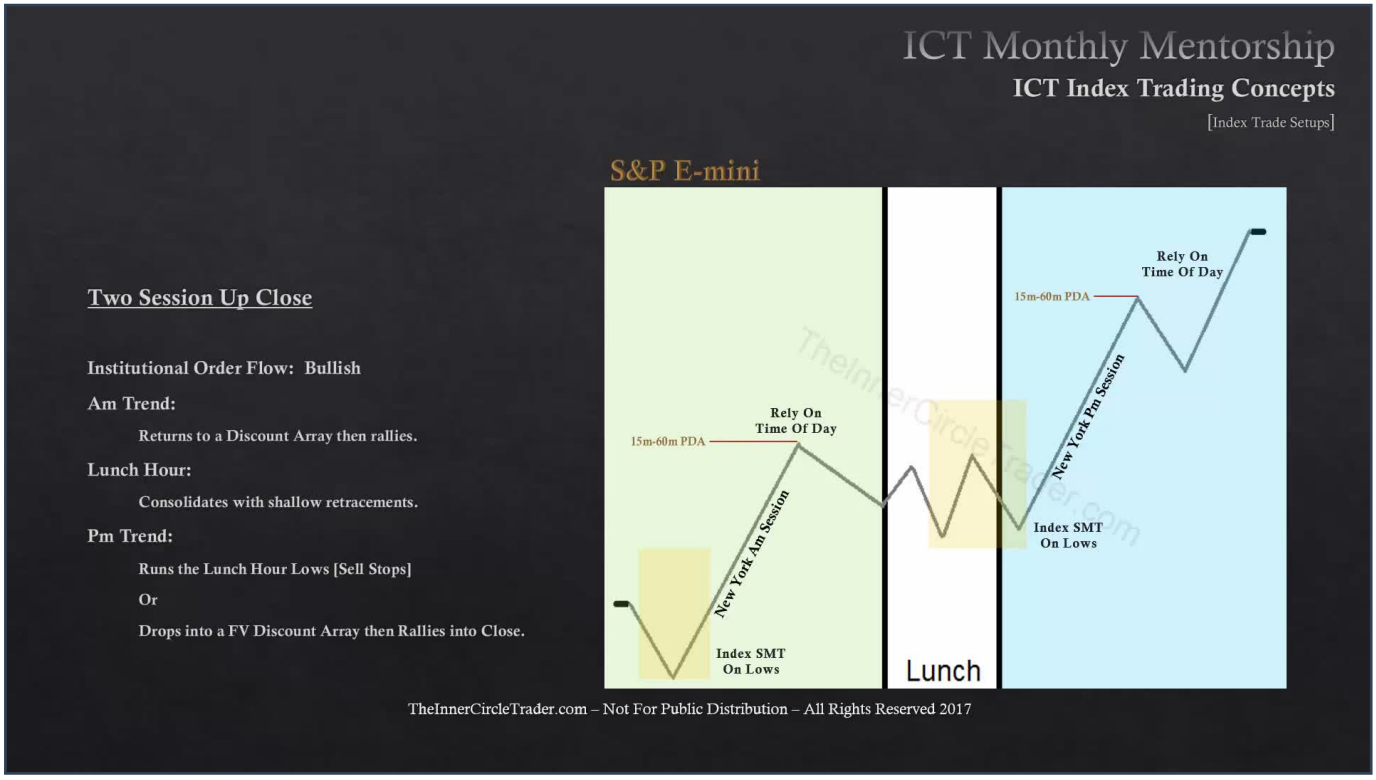
- We want to get the maximum amount of daily range in our favor. So, if we're long in the AM or PM session, it's most beneficial when we're holding for the maximum potential range that can fulfill in the daily candle.

- If we're looking at the E-mini S&P and we see bullishness underway, and we're long, and it's only 2:00 in the afternoon, and we've seen some 'handles' in our favor (paper profit), don't be aggressive about trying to take those profits off the table.

- You want to allow the time of day to come to a higher level of delivery on price, which obviously will lend well to you getting a higher profit. The more you hold towards the close, the more opportunity there is for you to make more of a range.

TWO SESSION UP CLOSE - PD ARRAY OBJECTIVES AND PM SESSION STAGES

TIMESTAMP: 00:04:18



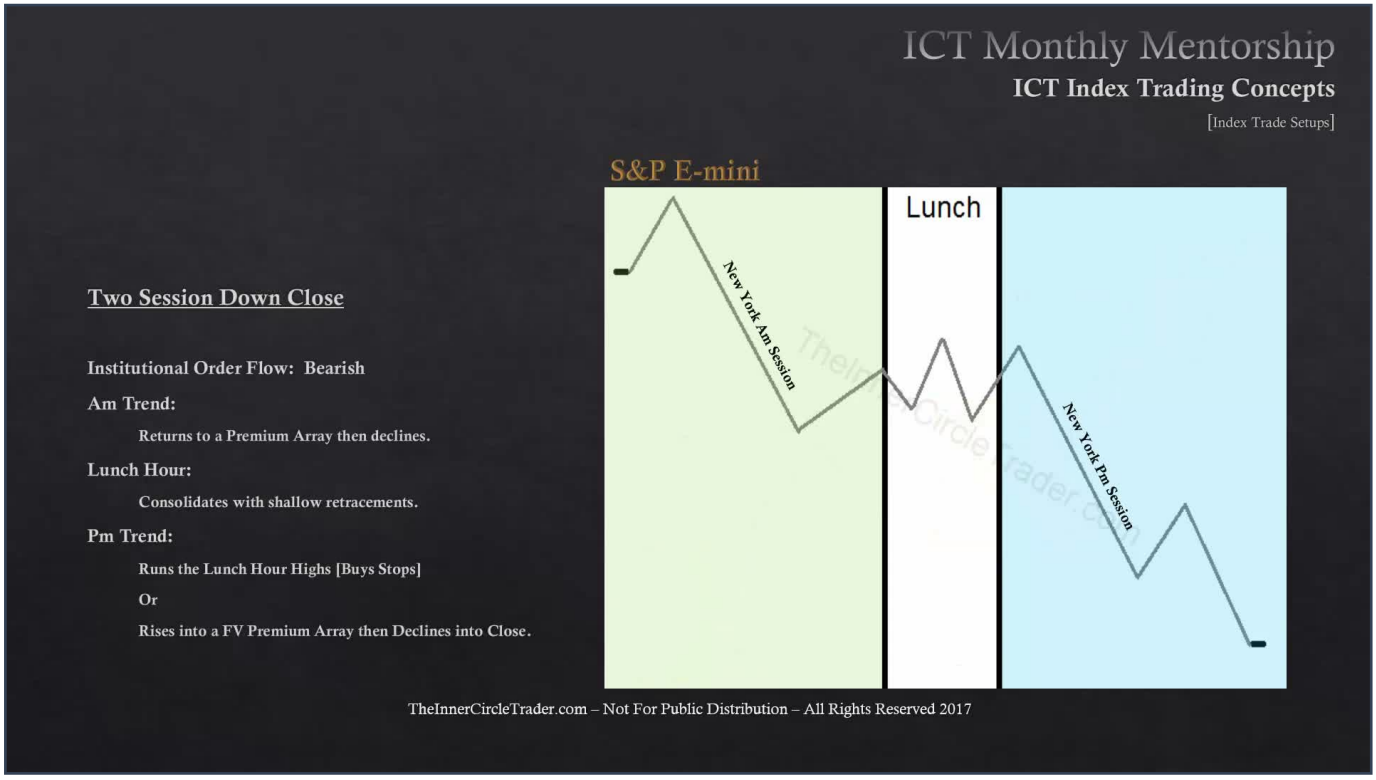
The AM session and the PM session highs initially are going to be most likely a 15-minute or a 60-minute PD array. Since we're looking at a 'Two Session Up Close,' both the AM session and PM session PD array are going to be a premium array.

- Again, it could be a 15-minute premium array or a 60-minute premium array, but you're aiming for that for both sessions.

- On the diagram, the PM session going into the close could be two stages. It could fall short of a 15-minute or 60-minute PDA and start to retrace, then look for an additional ramp up that last hour going into the close until it reaches the 15-minute or 60-minute PD array (premium array).

TWO SESSIONS DOWN CLOSE - AM TREND TO PREMIUM ARRAY

TIMESTAMP: 00:05:12



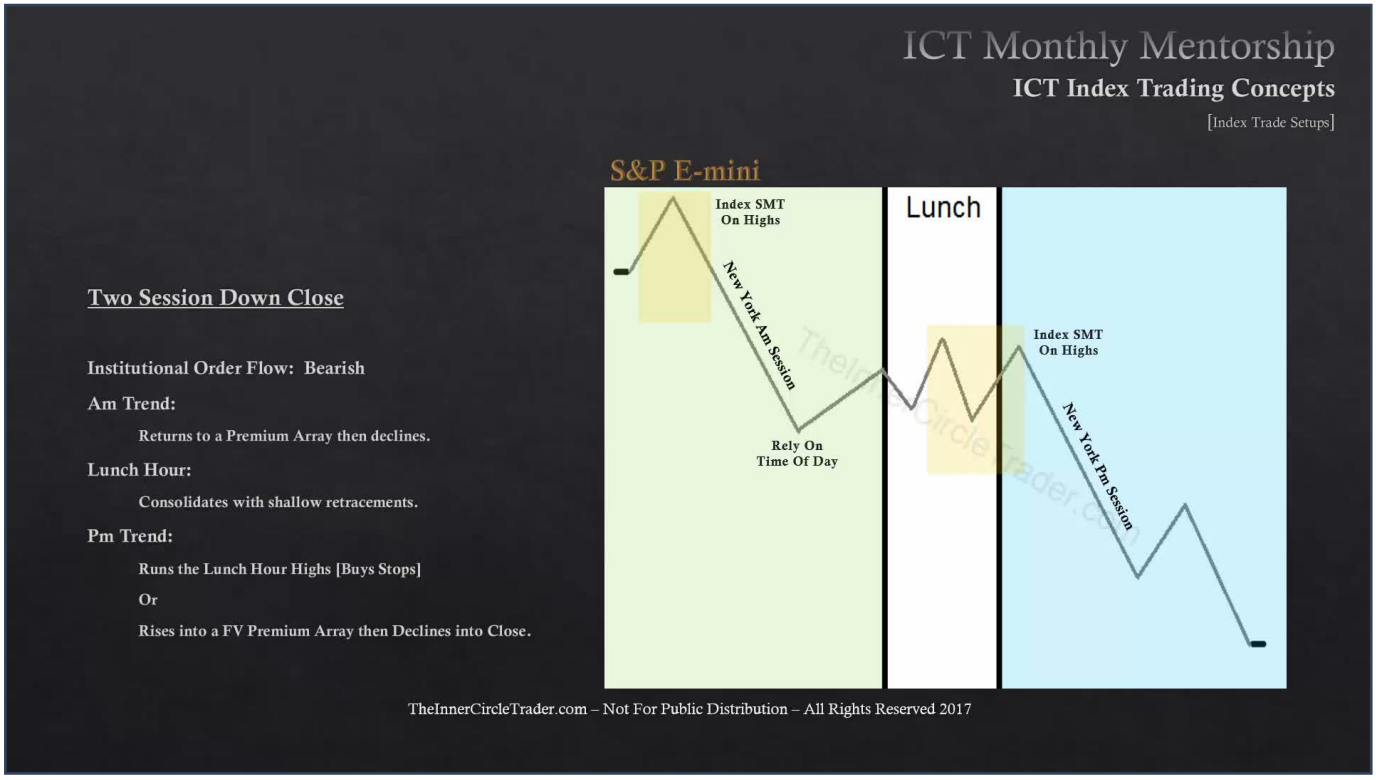
Now, we're looking at the 'Two Sessions Down Close'. Again, in the morning, when we see price return to a premium array:

- At that moment, we're going to be comparing the other two indices (NASDAQ and the Dow) and we're going to be comparing the highs for Index SMT Divergence.

- This is from London into the 9:30 AM equities opening.

- We're going to be holding until 10:30 to 11:00 AM, relying on time of day to get the maximum amount of range.

- As we get close to 11:00 AM, there's more likelihood of a consolidation or pause going into the lunch hour at noon.



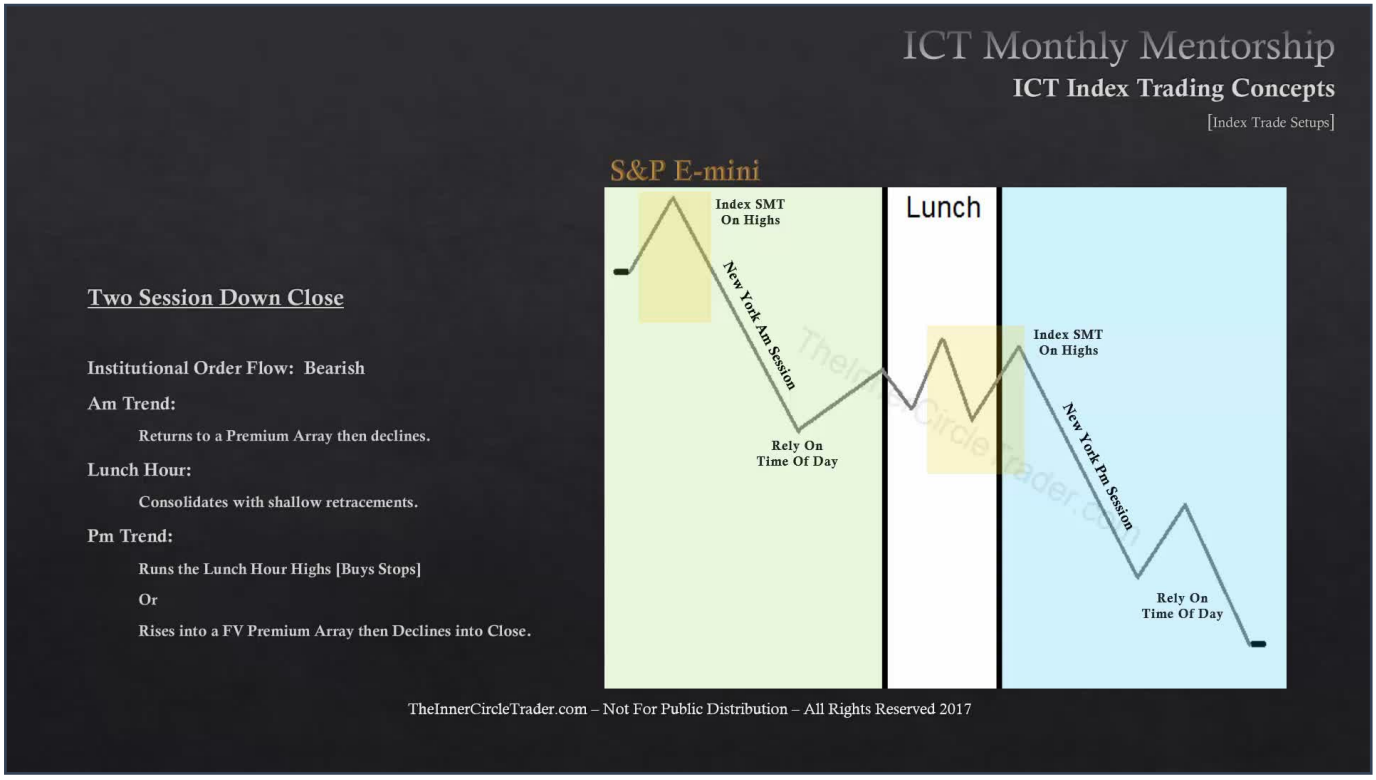
During the lunch hour, we're going to be looking at the highs comparable with the NASDAQ and the Dow futures against the S&P.

- Again, this can be a return back to a fair value gap or a bearish order block, or closing of a liquidity void, and then going lower.

- Or, it could run the lunch high for buy stops and then reject. But you're looking at the highs during the lunch hour and you're looking at the high that forms post-New York lunch.

- When that happens, and it forms, there's always going to be some measure of short-term high that forms immediately after lunch. If you're looking for a 'Two Session Down Close' profile to unfold, projecting that daily range, we're going to be looking for weakness immediately after the lunch hour closes.

- So, from 1:00 PM in the afternoon New York time, we're immediately going to be hunting and stalking the E-mini S&P's short-term high. If price was rallying up, we're going to be looking for reasons to suspect a fair value play for return to fair value for selling short, and bearish Order Block, fair value gap, or liquidity void, or a run above or a move above the New York lunch high.



In the PM session, again, we have to rely on time of day. Don't just take a couple 'handles' of profit, hold on to it.

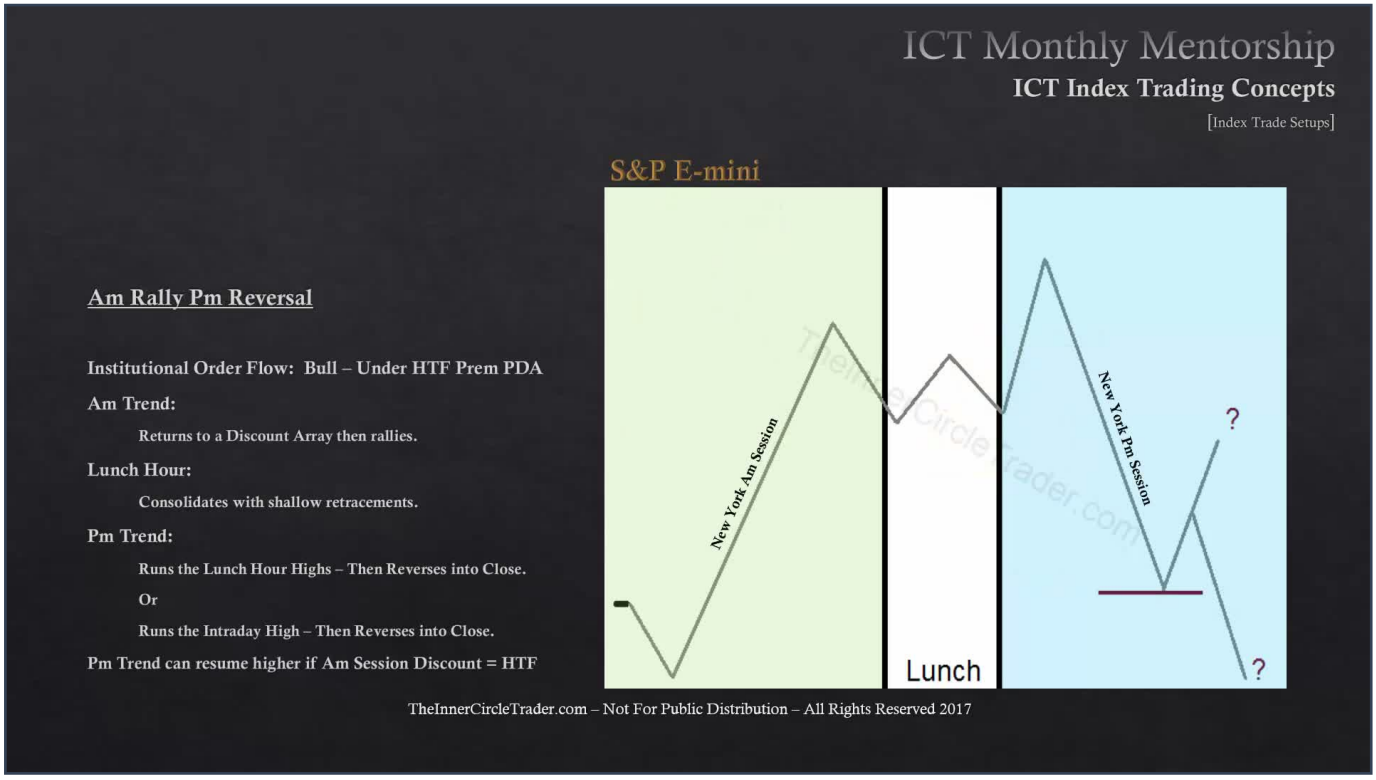
- Head towards the close, at least try to hold on until 3:00 PM Bond close. And if you can do all you can to hold on into 4:00 PM, it's ideal to do that.

- The AM session and the PM session intraday lows again are going to be many times lined up with a 15 to 60-minute PD array. Since we're looking at 'Two Session Down Close' projected range, it's going to be a 15 to 60-minute discount array.

- Now, in the PM session, again, that many times can happen as a two-stage short-term rally where early profit will be taken. If it does not do that short-term bounce at a logical 15-minute or 60-minute discount array, hold for it to break another leg lower going into the close. And then that later point at which it trades lower, many times will trade into that 15-minute or 60-minute discount array.

AM RALLY PM REVERSAL - AM SESSION SMT DIVERGENCE AND HOLDING TIME

TIMESTAMP: 00:08:37



Alright, we're looking at the 'AM Rally PM Reversal' projected range. In the AM session, we're going to be looking at the three averages (NASDAQ, Dow against the S&P), and we're going to be comparing the Index SMT on the lows.

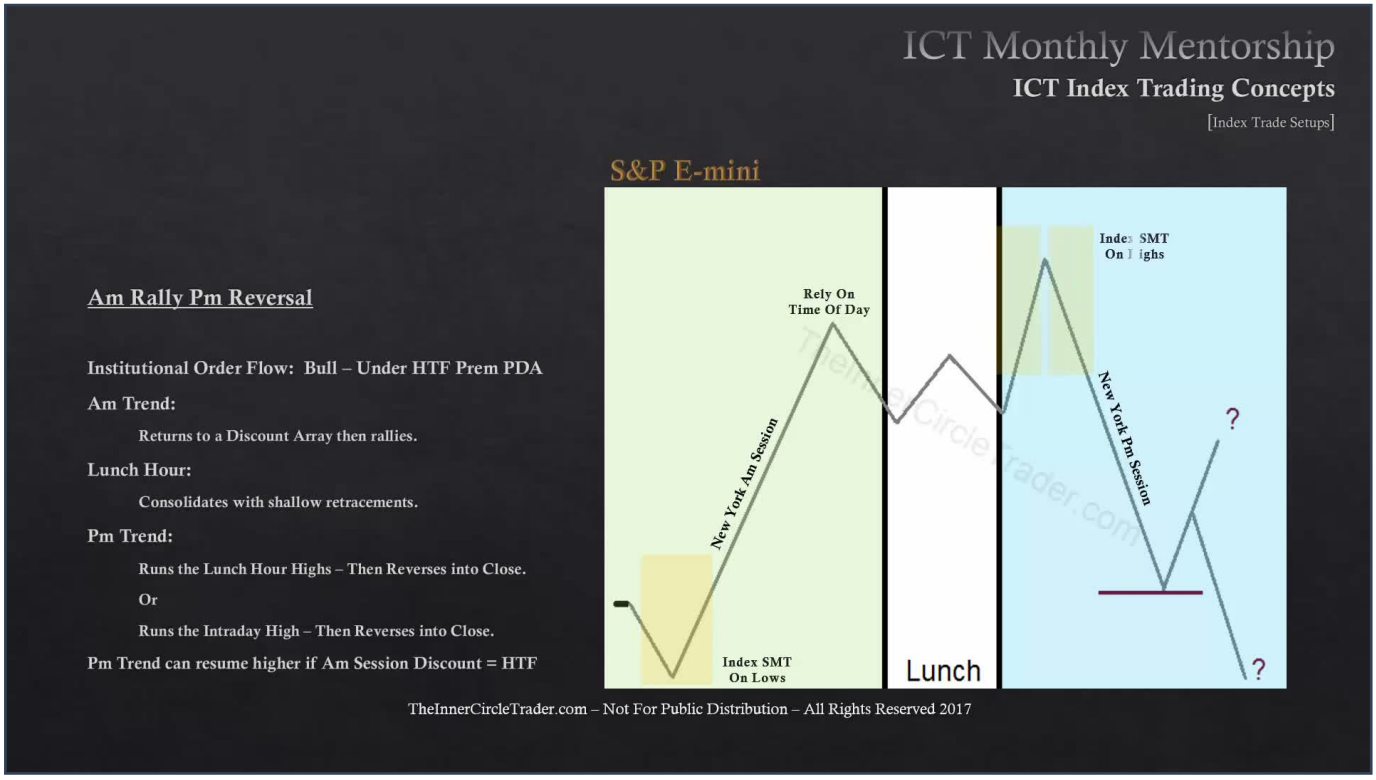
- So, we're going to be looking for a divergence. One of them will fail to go lower; that will signal the time to be a buyer of the E-mini S&P for the New York session.

- We're going to be relying on time of day, holding until we get very close to 11:00 AM or just past 11:00 AM.

- As we get into the lunch hour, again, ahead of noon, many times we'll see a little bit of profit-taking retracement.

AM RALLY PM REVERSAL - PM SESSION SELL SETUP AND DISCOUNT ARRAY CONTEXT

TIMESTAMP: 00:09:21

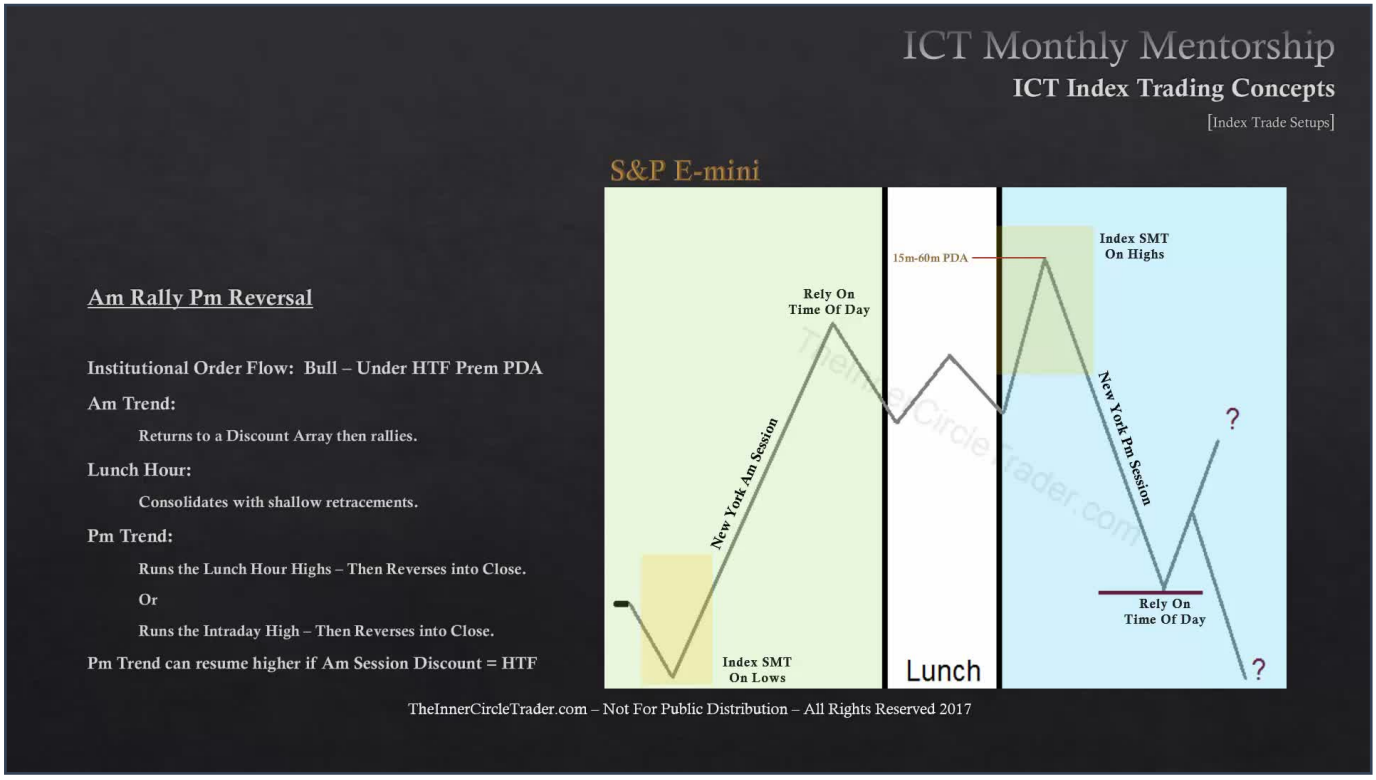


Then in the afternoon, we're going to be looking for a rally to sell into. And we're going to hold that until we get to time of day and price.

- So, we have to refer back to that discount array in the AM session that caused the initial rally.

- If it blends well with a higher timeframe discount array, obviously we expect a short-term bounce, maybe back into consolidation or resuming higher to take out the daily high.

- But if the daily AM session discount array is not a higher timeframe discount array, we'll look for continuational downside and take out the intraday low.



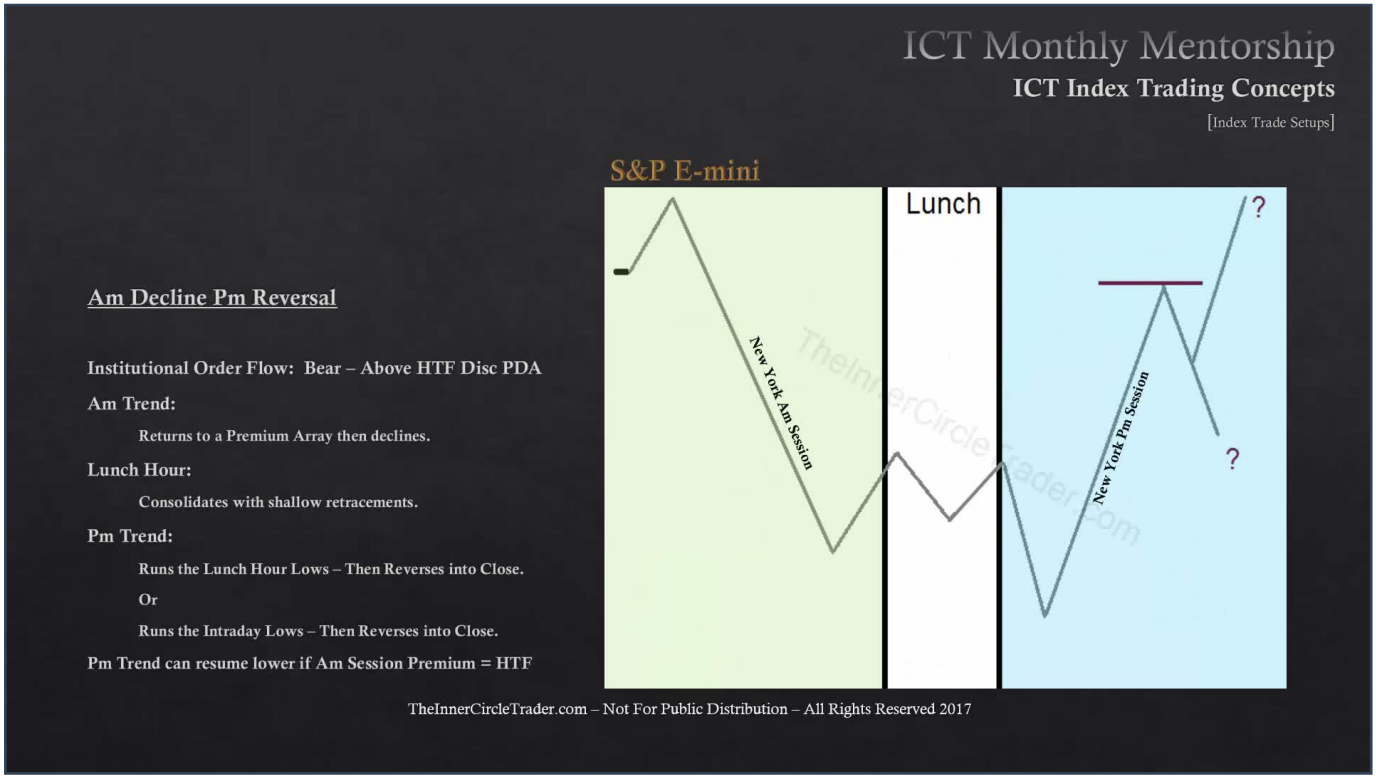
In the afternoon, that high is going to be a 15 to 60-minute premium PD array. In the AM session, in this case, it creates a lower high than that which is formed in the PM session.

- If that short-term high forms before lunch, if it's below a 15-minute or a 60-minute premium array, then we're going to be anticipating before it even happens, the initial move outside of the London lunch around 1:00 PM in the afternoon New York time, then it will rally up to the 15-minute or 60-minute premium array and then anticipate a higher timeframe Market reversal to fall as indicated in this diagram.

- Note: you're thinking 15-minute is not a higher timeframe, and neither is a 60-minute, but we're going to be looking for an overlap or a nested premium array seen on the 15-minute or 60-minute and daily or four-hour. So the higher timeframe confluence with nested ideas of Premium array would be our catalyst for this PM session reversal.

AM DECLINE PM REVERSAL - AM SESSION SMT DIVERGENCE AND HOLDING STRATEGY

TIMESTAMP: 00:11:19



The 'AM Decline PM Reversal' setup. In the morning, we'll be looking for the Index SMT Divergence on the highs, going from the London session into the 9:30 AM equities opening.

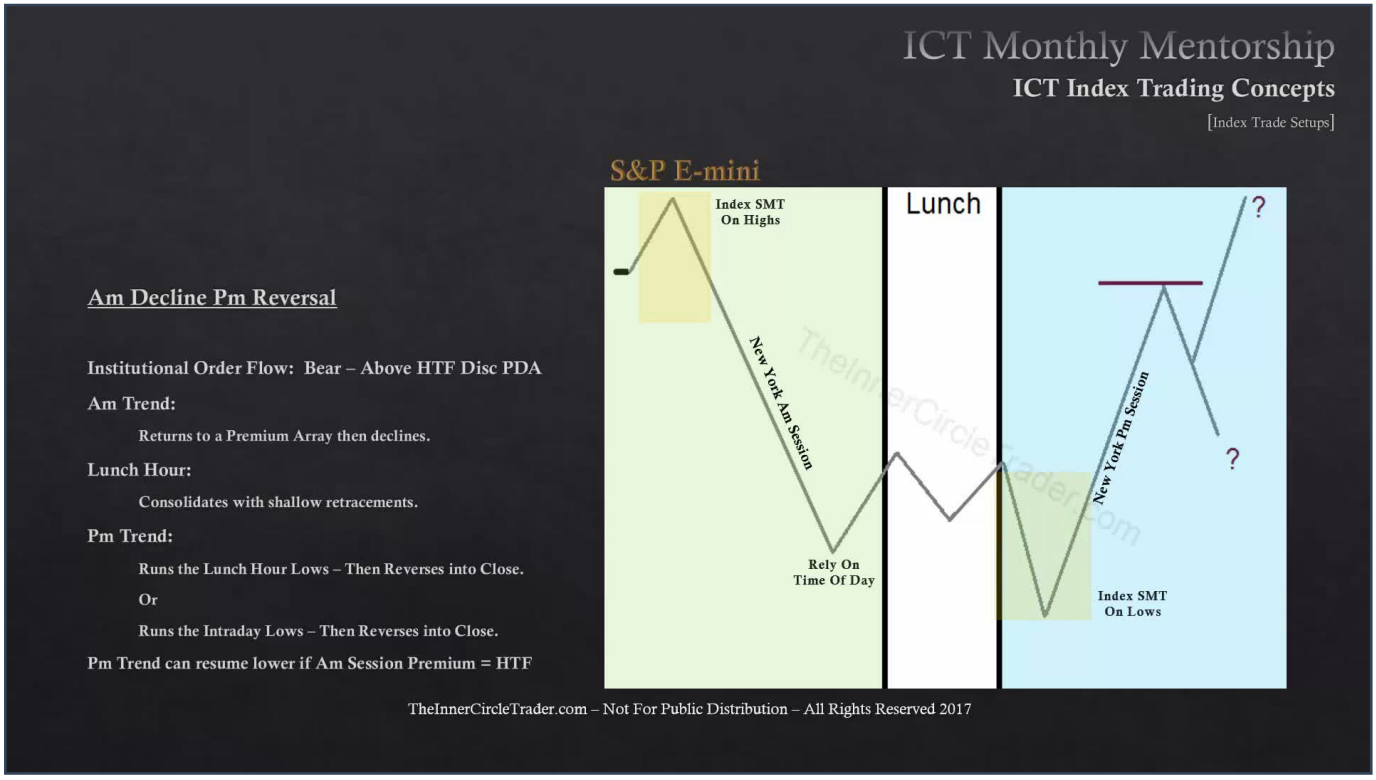
- One of those three indices will be the bearish divergence, indicating a New York AM session decline.

- We're going to be holding again for a very minimum 10:30 AM, and closer to 11:00 AM.

- At 11:00 AM, anticipate some measure of consolidation or retracement going into lunch hour.

AM DECLINE PM REVERSAL - PM SESSION LOW TARGET AND PREMIUM ARRAY CONTEXT

TIMESTAMP: 00:11:54



In the PM session, we anticipate a run on the daily low or the low seen in the lunch hour.

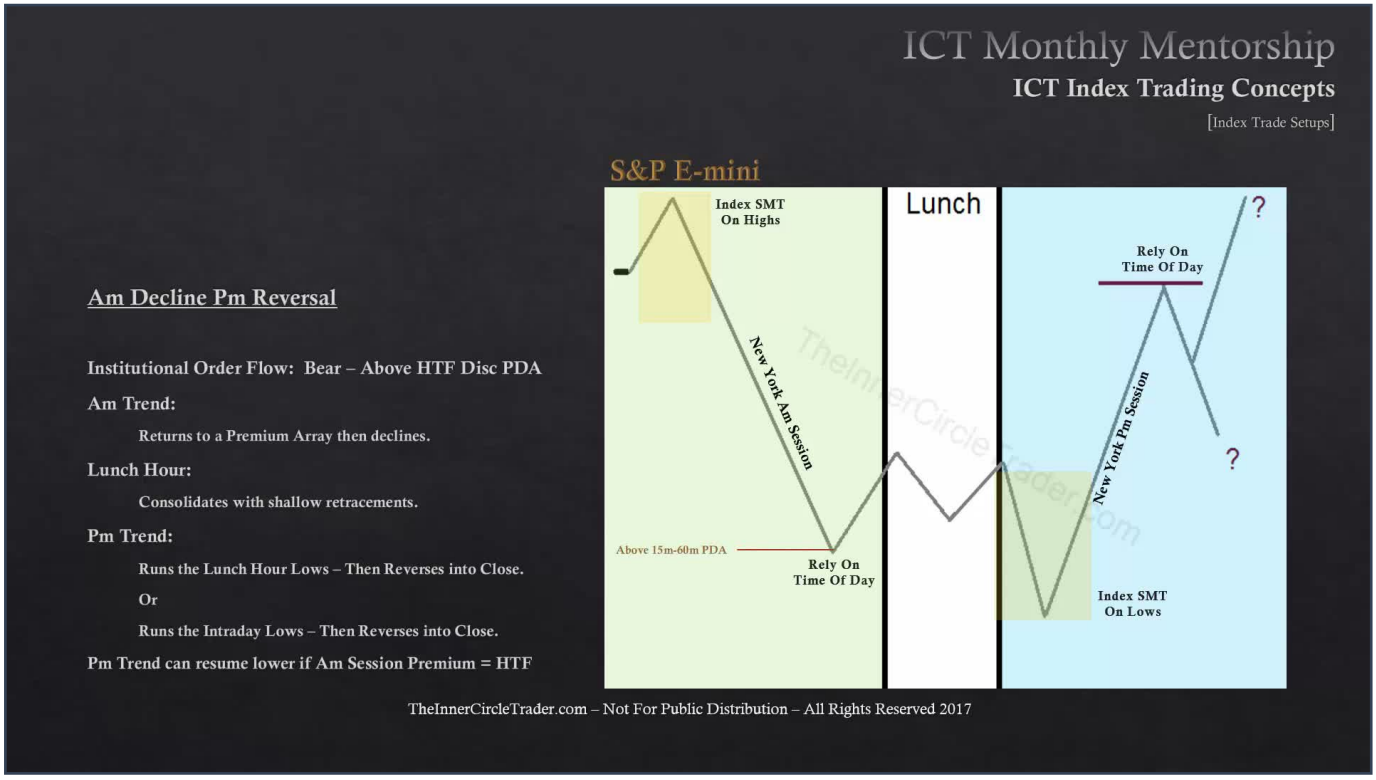
- Again, we hold on to the later portion of the day, at least try to aim for holding until 3:00 PM Bond close New York time if at all possible.

- If it gets to the premium array that saw price decline from the AM session, we could see price resume and go lower.

- Or, if that AM session premium array is not a higher timeframe premium array, we can anticipate further upside and then the intraday high being taken out.

AM DECLINE PM REVERSAL - PM SESSION LOW AND NESTED DISCOUNT ARRAY CONFIRMATION

TIMESTAMP: 00:12:38



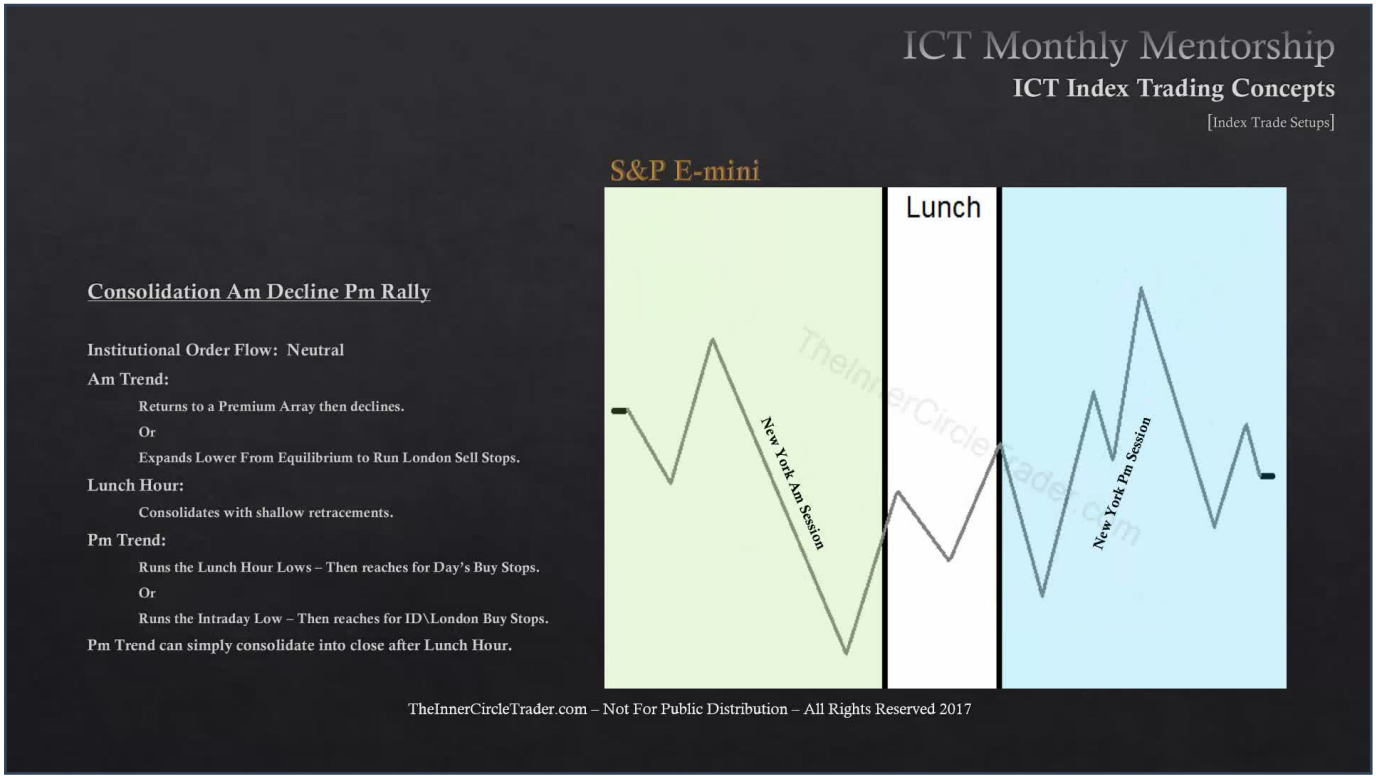
In this diagram, the AM session low is suggesting the low forms above a 15-minute or 60-minute PD array.

- Therefore, a lower low could be expected in the afternoon, trading down into these 15-minute or 60-minute PD array. That would cause our reason to justify a nested discount array.

- So, if that discount array in the afternoon forms at a 15-minute or 60-minute discount array, and it is also a nested higher timeframe (four-hour or daily) discount array, that further bolsters the idea that this is going to be a market reversal in the afternoon, and we can trade it accordingly.

CONSOLIDATION AM DECLINE PM RALLY - AM SESSION DIVERGENCE AND CONSOLIDATION

TIMESTAMP: 00:13:28



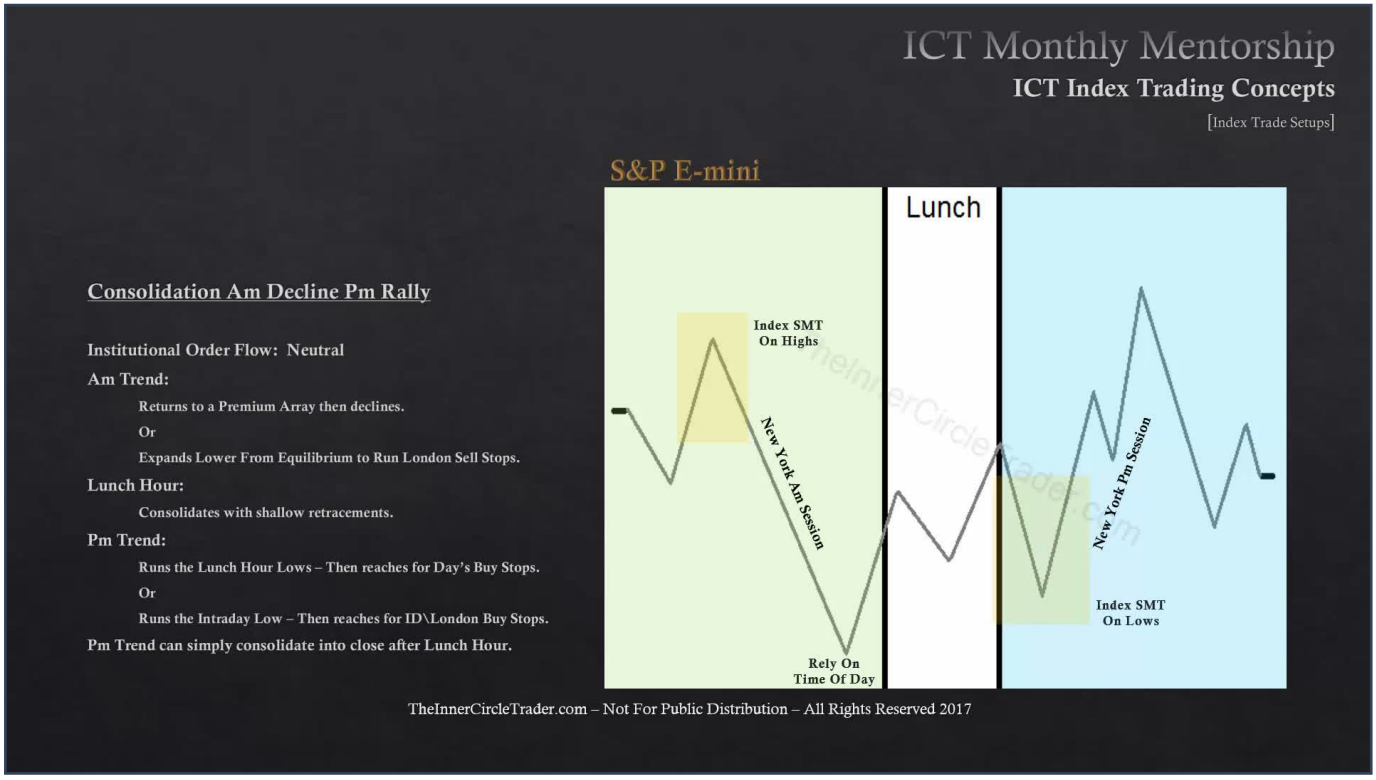
The 'Consolidation AM Decline PM Rally' setup. Again, initially when the market makes an attempt to rally up into a premium array, we're going to be looking at the indices to diverge bearishly at the highs comparably.

- We'll be holding for again, ideally around 10:30 to 11:00 AM in the morning New York time.

- Then anticipating after 11:00 AM, some measure of consolidation to retracement higher going into the lunch hour.

CONSOLIDATION AM DECLINE PM RALLY - PM SESSION SMT AND RANGE EXPECTATIONS

TIMESTAMP: 00:13:57

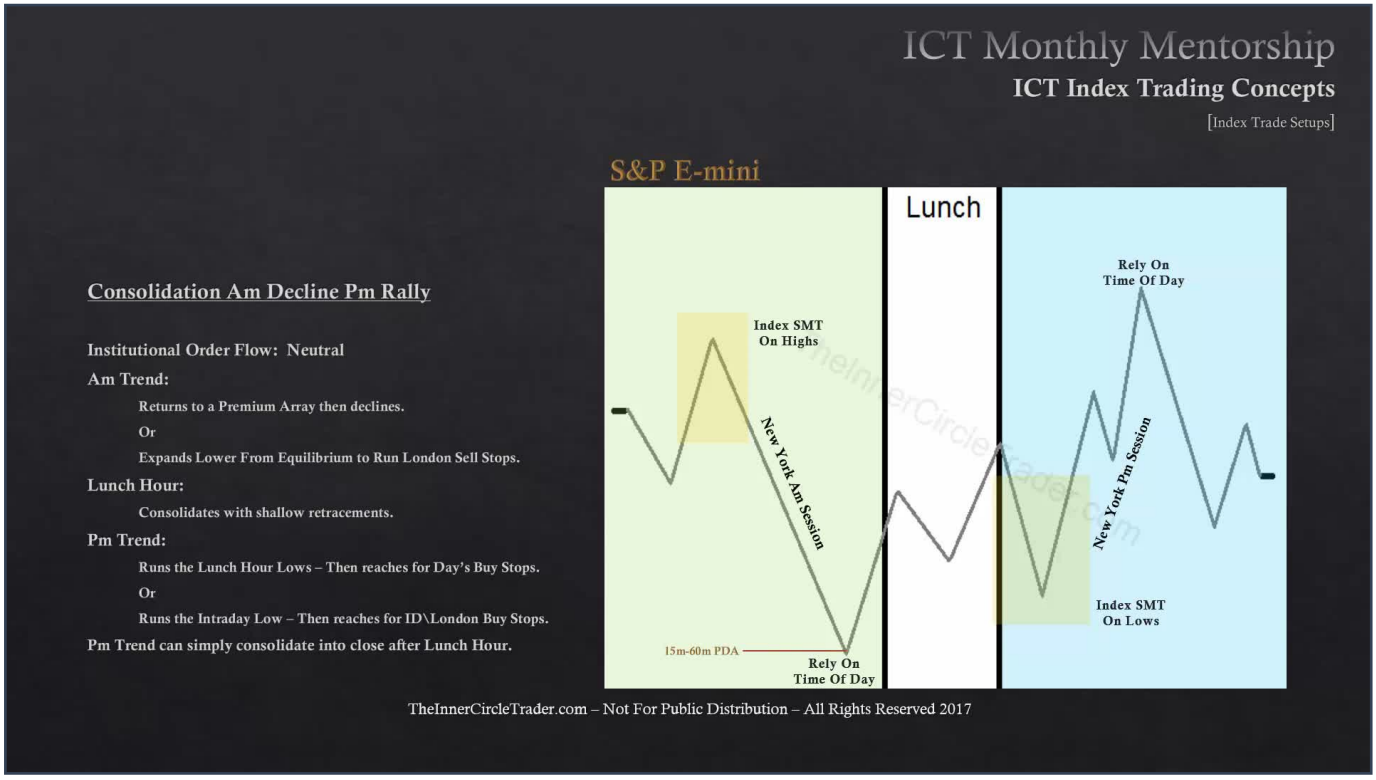


Then we will be comparing the SMT Divergence that should form at the lows comparably across the NASDAQ, Dow, and E-mini futures.

- And looking for time of day to support the idea of an expansion on the upside.

- If it's consolidation, we don't expect it to go all the way into the close. In other words, it's going to be an early short-term high that forms that will be later on a decline seen going into the close. So we're not going to be holding for the rest of the day.

- We're going to be relying on time of day, so generally around 2:00 in the afternoon it creates that comparable high in the PM session.



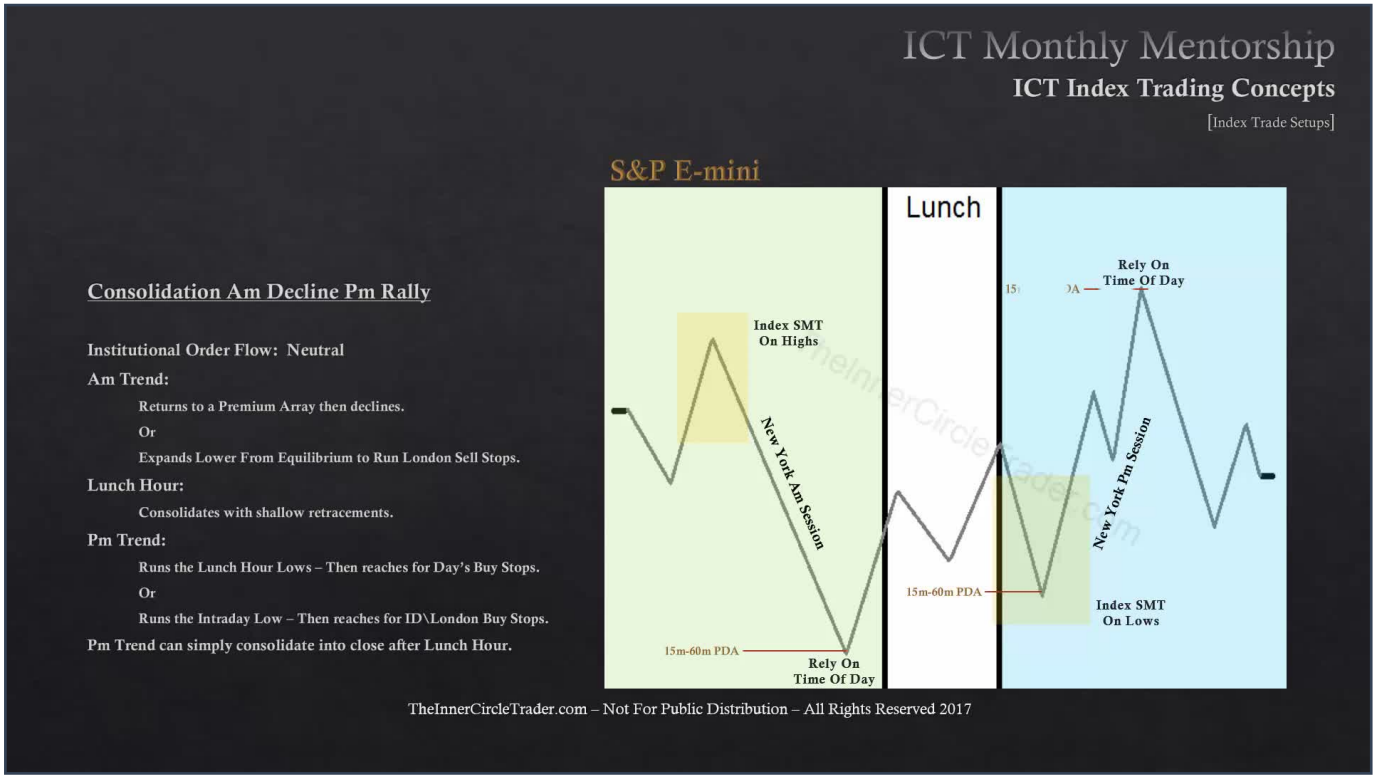
The AM session low is many times a 15-minute or 60-minute discount PD array. In the afternoon, again, is also a 15 to 60-minute PD array or discount array.

- The afternoon low could run just the lunch low or it can run the intraday low formed in the AM session. Again, as a reminder, how you determine which one it's going to be is if the AM session bounces into the lunch off of a higher timeframe nested level that's also seen on a 15-minute or a 60-minute discount array, then we don't expect the intraday low to be taken out in the afternoon session.

- But if that AM session low is forming above a higher timeframe discount array, then we would anticipate a lower run on the intraday low in the PM session, and then the rally or increase in price after that stop run has been seen.

CONSOLIDATION AM DECLINE PM RALLY - AFTERNOON HIGH TARGET

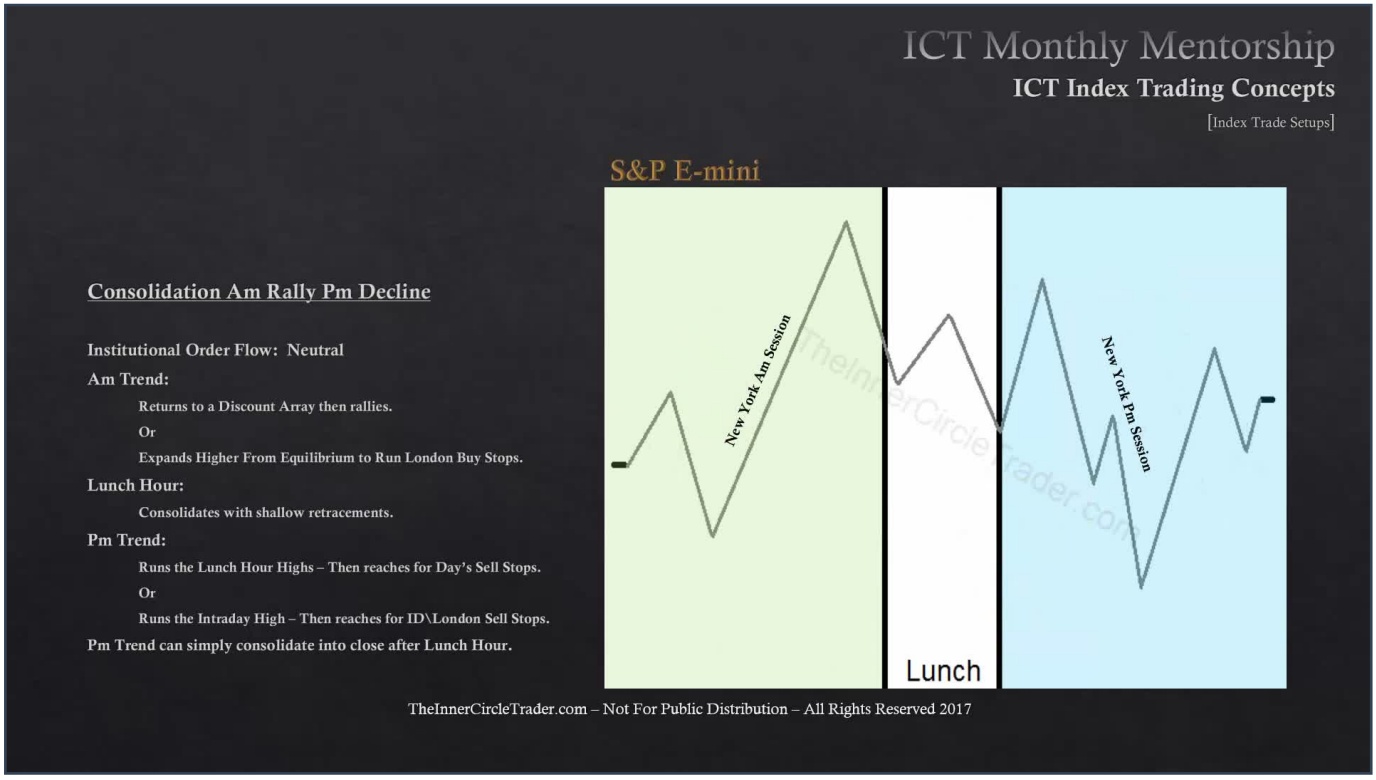
TIMESTAMP: 00:15:44



The afternoon high is going to be seen with a 15-minute or 60-minute PD array, and we would anticipate not further upside, but a retracement and gravitation back to the equilibrium price point of the day, basically back to the middle.

CONSOLIDATION AM RALLY PM DECLINE - AM SESSION DIVERGENCE AND CONSOLIDATION

TIMESTAMP: 00:16:07



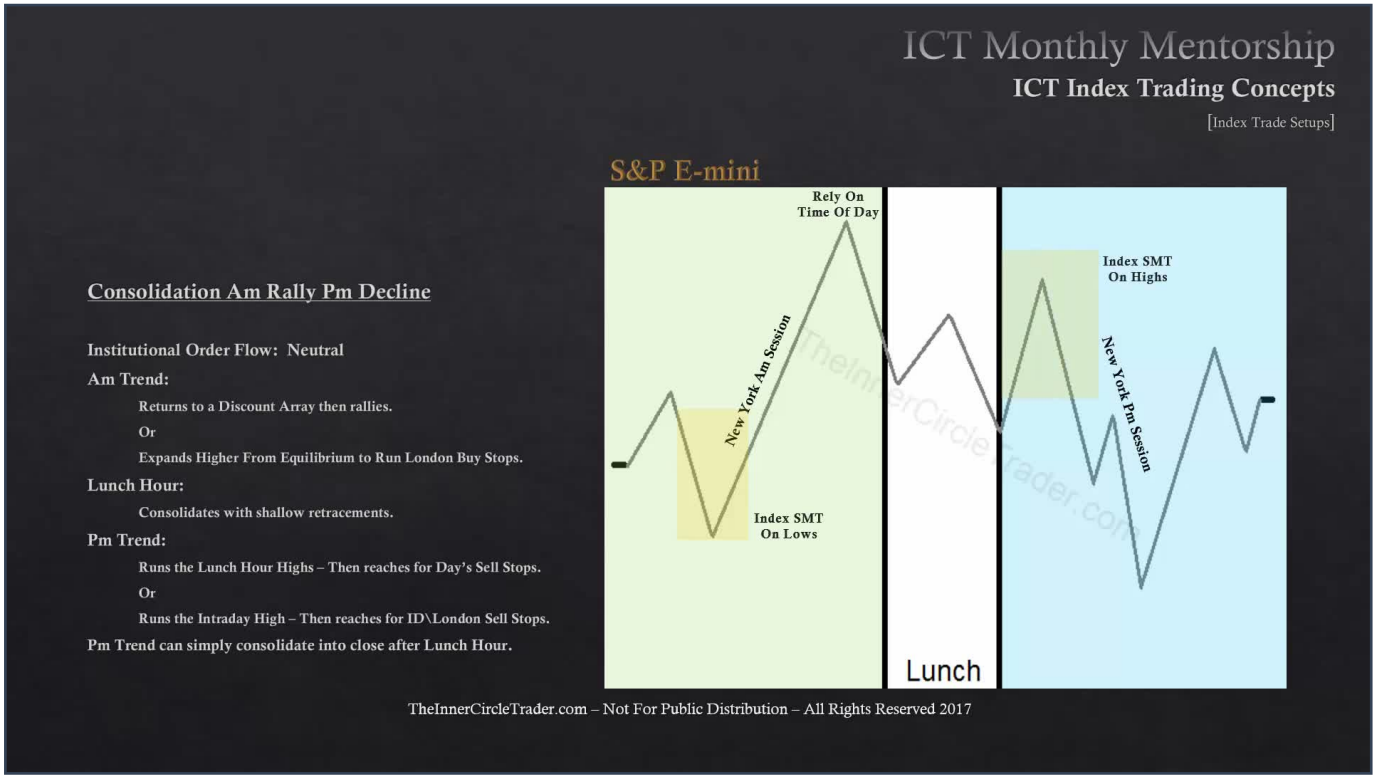
The 'Consolidation AM Rally PM Decline' setup. In the morning, we're going to be comparing the Index SMT Divergence at the lows comparably against the Dow and NASDAQ with the S&P E-mini.

- And we're going to be holding for a minimum of 10:30 to 11:00 AM in the morning New York time.

- At 11:00 AM, we would anticipate some measure of consolidation and or retracement down into the lunch hour.

CONSOLIDATION AM RALLY PM DECLINE - PM SESSION RALLY AND LOW TARGETS

TIMESTAMP
00:16:33

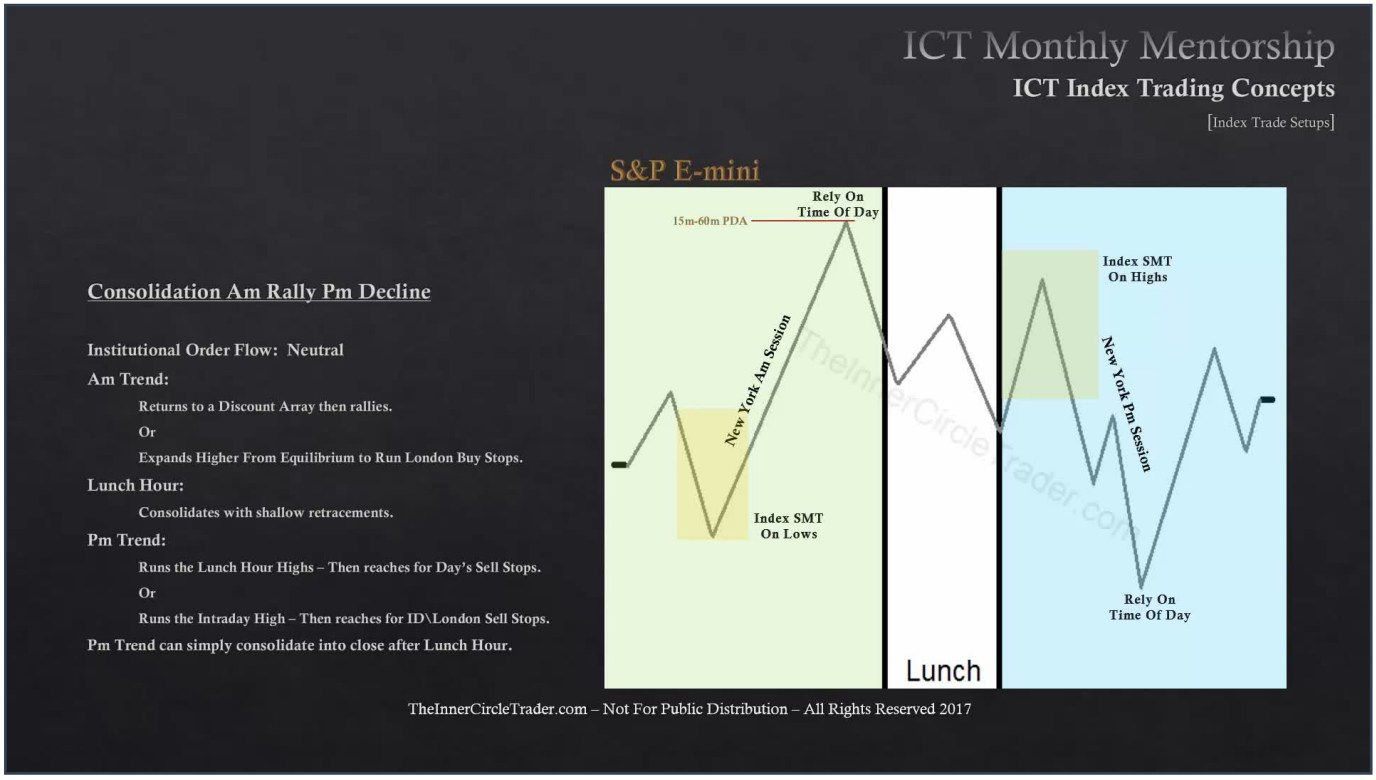


After 1:00 PM is seen in New York, we would anticipate some measure of a rally again, and we would be comparing SMT Divergence at the highs comparably across the three averages.

- And we will be holding for again, around 2:00 PM minimum, looking for a run into the short-term lows.

CONSOLIDATION AM RALLY PM DECLINE - PD ARRAYS AND HIGHER TIMEFRAME CONFLUENCE

TIMESTAMP: 00:16:57



The AM session high will be a 15-minute or 60-minute PD array or premium array. The afternoon will be a 15-minute or 60-minute PD array. Now, the afternoon can run the lunch hour high for buy stops.

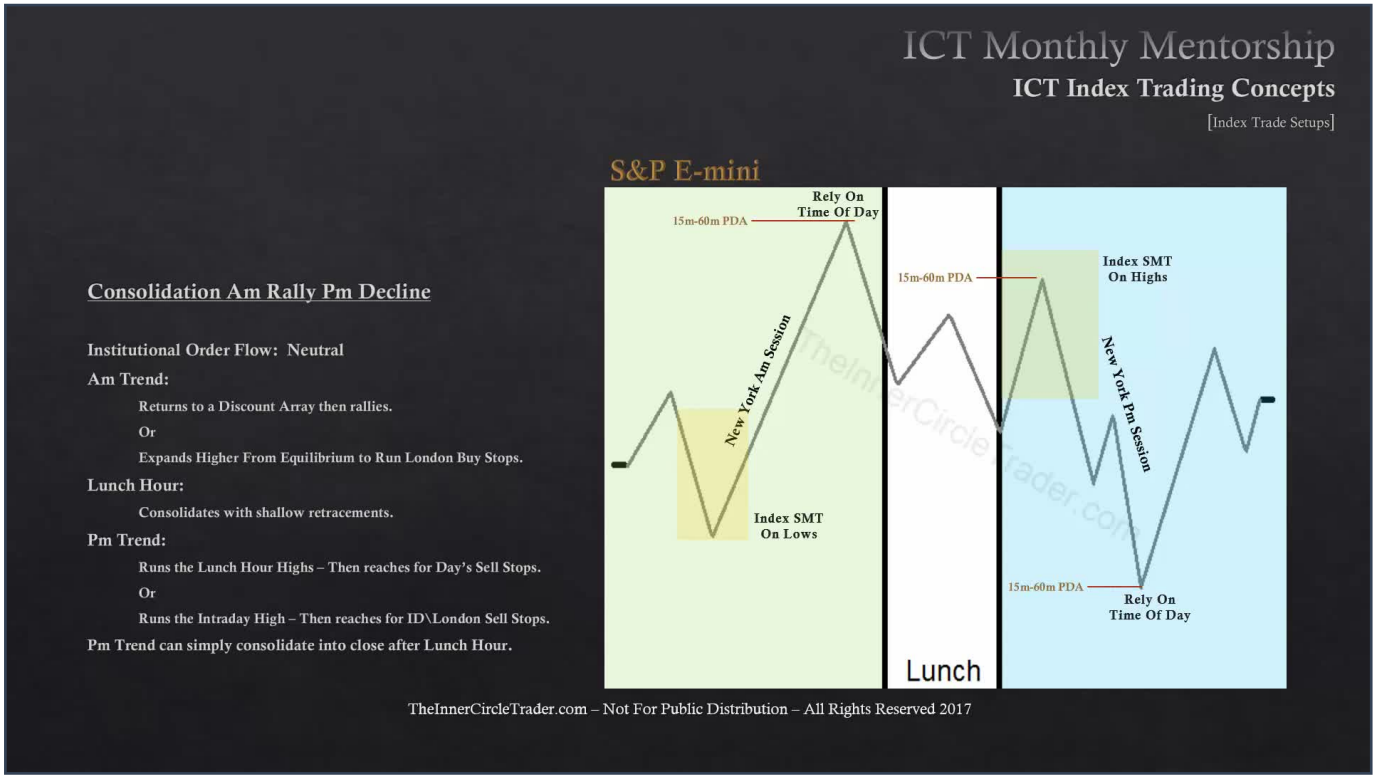
- If the AM session high forms at a higher timeframe (four-hour or daily) premium array, then we anticipate a reversal.

- If the AM session does not form the short-term high going into the lunch at a higher timeframe (four-hour or daily) premium array, we would anticipate the rally after the New York lunch to run the intraday high up into a four-hour or daily PD array or premium array and then decline after that.

- So, it's a very simple measure of what's causing the high to form in the AM session. If it falls short of a premium array that's seen on a four-hour or daily, chances are it's probably going to rally again harder to reach for that level and then make a reversal.

CONSOLIDATION AM RALLY PM DECLINE - AFTERNOON LOW TARGET

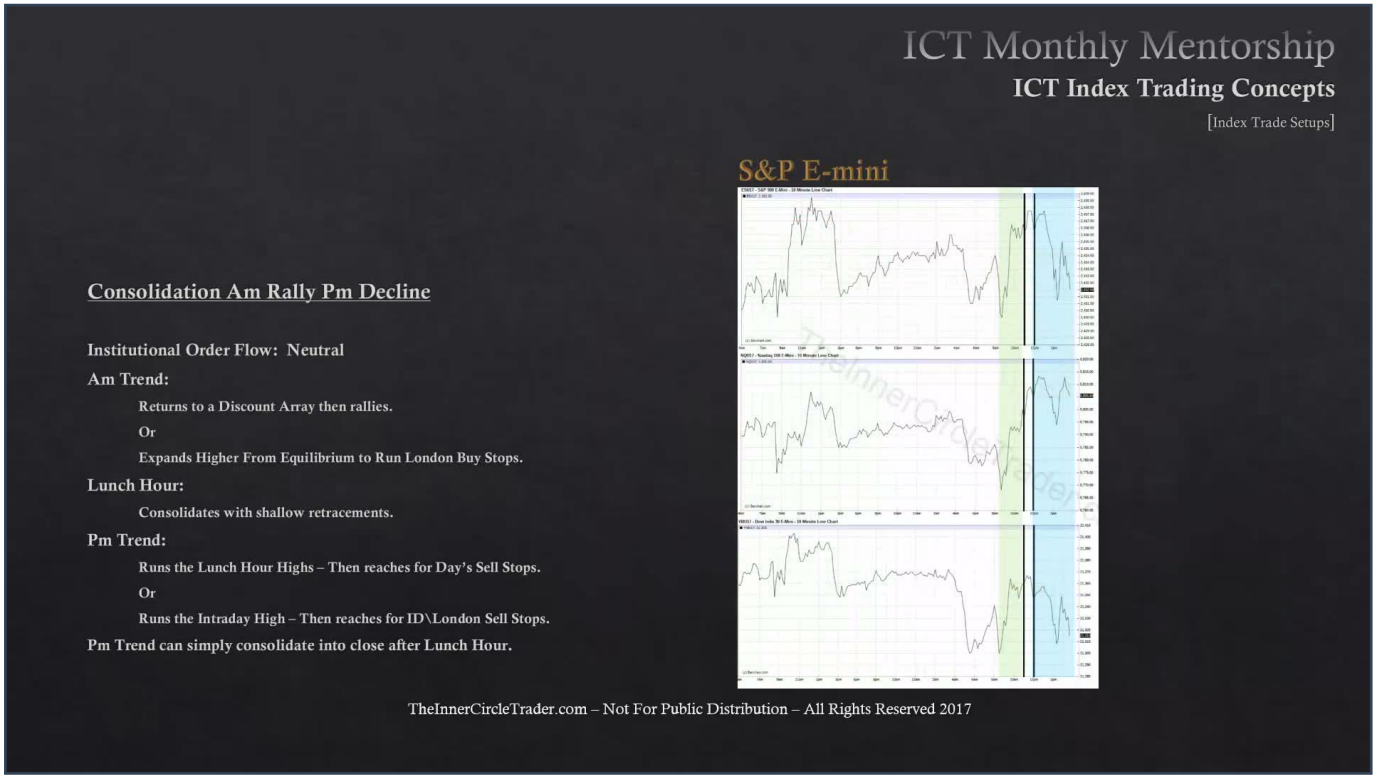
TIMESTAMP: 00:17:59



The afternoon low, again reaching into the 2:00 PM hour, as many times is going to be a 15-minute to 60-minute discount array.

EXAMPLE: CONSOLIDATION AM RALLY PM DECLINE (JUNE 23, 2017)

TIMESTAMP: 00:18:11



Just as an example, to show you what it looks like, again, I'll give you an example of a 'Consolidation AM Rally PM Decline' that's what was seen today at the time of this recording. I'll show you here as an example:

- Look at the furthest down chart on the bottom, it's the Dow. We can see going into the AM session of June 2017 on the 23rd (Friday), we can see that the low failed to go lower into the AM session.

- For the NASDAQ (middle chart), we can see very easily and obviously that the NASDAQ was able to go lower, and the S&P was able to go lower. So the Dow was able to buck that trend, indicating there were strong buyers stepping in, and the S&P rallied as a result.

EXAMPLE (CONT.): PM SESSION DIVERGENCES AND S&P ACTION

TIMESTAMP: 00:19:04

Then we went into the lunch hour, and then immediately after the lunch hour (12:00 to 1:00 PM in New York time), that begins our PM trend or afternoon session for the equities or indices.

- Again, at the bottom, we can see that the Dow, from the high formed in lunch, made a lower high, was unable to rally above it in the PM session and went lower.

- In the NASDAQ (middle chart), we can see that the NASDAQ made a higher high than that which was seen in the lunch hour.

- And the S&P was unable to make a higher high that was seen in the lunch hour and price trades down as a result, and back into the equilibrium or middle of the range.

EXAMPLE (CONT.): S&P AM RALLY AND PD ARRAY CONFLUENCE

TIMESTAMP: 00:19:56

Notice in the S&P that during the AM session that rally traded all the way up into an old premium array (that old high back here). So, blending these ideas, you can see how using the 15 to 60-minute PD array as objectives and targets, and also to frame the context of what makes these intraday swings occur when looking at the S&P.

When we get into the August content, I give you the top-down analysis PDF. It gives you a flowchart perspective, and I'll walk you through the scenarios that lead to these specific projected ranges and how to trade them accordingly in a trading plan format.

- Until I talk to you again next week, we talk about stock trading, doing short-term trading and swing trading with stocks on a month by month basis.

- That will complete the delivery of June 2017's content. In the next month, in July, we'll be looking at 'Mega trades' across all the asset classes as well. Until then, I wish you good luck and good trading.